

**Time:** 5 minutes**Outcome:** Analyze International Trade: Quotas.**Difficulty:** ●●● Advanced

International Trade: Quotas



THE CORE IDEA

An import quota directly limits the quantity of a good that may enter the country. A binding quota reduces imports below their free-trade level, raises the domestic price, increases domestic production, and reduces domestic consumption. The price gap between the domestic quota price and the world price creates quota rent. Who receives that rent affects the country's national-surplus result, while the production and consumption distortions create deadweight loss.



HOW TO RECOGNIZE IT

- Read the free-trade outcome at the world price, then apply the import limit.
- A binding quota raises domestic price, increasing production and reducing consumption.
- Distinguish quota rent from deadweight loss and identify who receives the rent.

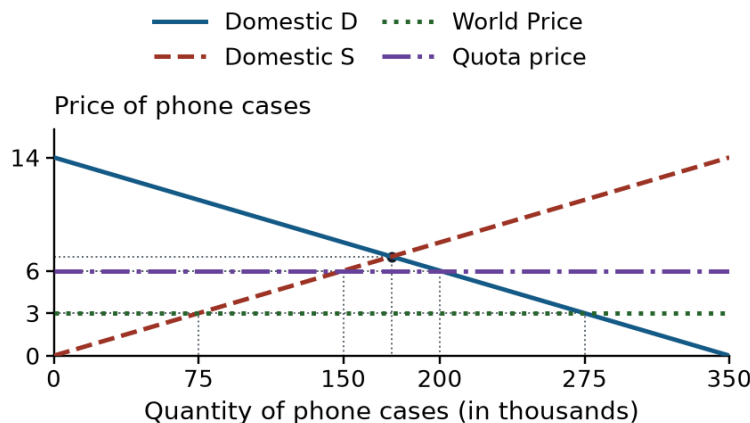


WATCH OUT

Import-right holders receive quota rent. An auction can transfer it to government; foreign rent recipients reduce the importing country's national-surplus gain.



WORKED EXAMPLE: QUOTA PRICE AND IMPORTS



Without trade, price is \$7. Free trade at \$3 gives domestic supply of 75 and demand of 275 thousand units: imports of 200 thousand. At the quota price \$6, supply is 150 and demand 200 thousand, leaving 50 thousand imports. Each permitted import earns $\$6 - \$3 = \$3$ of quota rent.



CHECK YOURSELF

World price is \$3 and the quota raises domestic price to \$6. What is the rent per imported unit, and why does the identity of the license holder matter for national surplus?

**READY?**

Return to the game and master this concept.